

		his termination on 4/21/22 raises a triable issue of material fact as to whether Defendant would have terminated Plaintiff if he had not engaged in protected activity. (See <i>Scheer v. Regents of the University of California</i> (2022) 76 Cal.App.5th 904, 917-918 [discussing admissibility of circumstantial evidence of pretext].) Based on the foregoing, the motion for summary judgment is DENIED.
11	24-01370449 <i>Martynas Jancius vs. Mercedes-Benz USA, LLC</i>	Motion to Compel Arbitration Defendant Mercedes-Benz USA, LLC’s motion to compel arbitration is DENIED. <u>Third Party Beneficiary</u> Defendant Mercedes-Benz argues it can force arbitration provision of the RISC as a third-party beneficiary. “As a general rule, only a party to an arbitration agreement may enforce the agreement.” (<i>Felisilda, supra</i>, 53 Cal.App.5th 486, 495). However, “[a] contract, made expressly for the benefit of a third person, may be enforced by him at any time before the parties thereto rescind it.” (<i>Goonewardene v. ADP, LLC</i> (2019) 6 Cal.5th 817, 827). In order to determine whether defendant is a “third party beneficiary,” this court must “carefully examin[e] the express provisions of the contract at issue, as well as all of the relevant circumstances under which the contract was agreed to, in order to determine not only (1) whether the third party would in fact benefit from the contract, but also (2) whether a motivating purpose of the contracting parties was to provide a benefit to the third party, and (3) whether permitting a third party to bring its own breach of contract action against a contracting party is consistent with the objectives of the contract and the reasonable expectations of the contracting parties.” (<i>Goonewardene, supra</i>, 6 Cal.5th 817, 829-830). “All three elements must be satisfied to permit the third party action to go forward.” (<i>Id.</i> at 830). In <i>Ngo v. BMW of North America, LLC</i> (9th Cir. 2022) 23 F.4th 942, persuasively analyzed an identical agreement and found a manufacturer was not a third-party beneficiary of the same. (<i>Id.</i> at 946-948). Similar to the contract in <i>Ngo</i>, the contract herein makes clear it is enforceable only by Plaintiff and Mercedes-Benz of Laguna Niguel (and its successors and assignees). Further, as was the case in <i>Ngo</i>, nothing in this agreement articulates an intent to benefit Mercedes-Benz, given the near identical limitation on enforcement. “Although the arbitration clause may have extended to claims regarding the purchase of the vehicle, it does not follow that additional parties can enforce the arbitration clause.” (<i>Ngo, supra</i>, 23 F.4th 942, 948). To hold the above would be to “confuse[] the nature of the claims covered by the

arbitration clause with the question of who can compel arbitration.” (*Id.*).

The Court in Ford Motor Warranty Cases expressly agreed with the reasoning in Ngo, stated above. (*Ochoa, supra*, 89 Cal.App.5th 1324.) Specifically, the Ochoa court stated: “We agree with Ngo that the sale contracts reflect no intention to benefit a vehicle manufacturer under Goonewardene. First, nothing in the sale contracts or their arbitration provision offers any direct ‘benefit’ to FMC...[i]ts direct benefits are expressly limited to those persons who might rely on it to avoid proceeding in court – the purchaser, the dealer, and the dealer’s employees, agents, successors or assigns.” (*Id.* at 1338.) “Second, there is no indication that a benefit to FMC was the signatories ‘motivating purpose’...[t]he manifest intent of the parties was to buy, sell and finance a car, and to allow either the purchaser or the dealer to compel arbitration of the specified categories of disputes between them, or between the purchaser and any of the dealer’s ‘employees, agents, successors or assigns.’” (*Id.* at 1338-1339.) Further, the Ochoa court explained: “FMC contorts the meaning of the arbitration clause when it claims the reference to ‘third parties who do not sign this contract’ gives it a right to arbitrate.” (*Id.* at 1339.) “As already discussed, this reference concerns what may be arbitrated, not who may arbitrate.” (*Ibid.*) “The parties choice of the subject of the disputes they agree to arbitrate does not evince an intention to benefit nonparties so as to affect who is entitled to compel arbitration.” (*Ibid.*) “Finally, allowing FMC to enforce the arbitration provision as a third party beneficiary would be inconsistent with the ‘reasonable expectations of the contracting parties’ [citation] where they twice specifically vested the right of enforcement in the purchase and the dealer only.” (*Id.* at 1340.)

The language of the RISC defendant relies upon is identical to the language analyzed by the court in Ochoa. Thus, defendant is not a third-party beneficiary of the RISC. Therefore, it cannot enforce the arbitration agreement within the RISC.

Equitable Estoppel

Defendant argues it may enforce the arbitration provision of the RISC under the doctrine of equitable estoppel.

“Under the doctrine of equitable estoppel, ‘as applied in ‘both federal and California decisional authority, a nonsignatory defendant may invoke an arbitration clause to compel a signatory plaintiff to arbitrate its claims when the causes of action against the nonsignatory are intimately founded in and intertwined’ with the underlying contract obligations.” (*Felisilda, supra*, 53 Cal.App.5th 486, 495.) “By relying on contract terms in a claim against a nonsignatory defendant, even if not exclusively, a plaintiff may be equitably estopped from repudiating the arbitration clause contained in that agreement.” (*Id.* at 496.) “Where the equitable estoppel doctrine applies, the nonsignatory has a right to enforce the arbitration agreement.” (*Ibid.*)

“‘The fundamental point’ is that a party is ‘not entitled to make use of [a contract containing an arbitration clause] as long as it worked to [his or] her advantage, then attempt to avoid its application in defining the forum in which [his or] her dispute...should be resolved.’” (*Felisilda, supra*, 53 Cal.App.5th 486, 495.) “In any case applying equitable estoppel to compel arbitration despite the lack of an agreement to arbitrate, a nonsignatory may compel arbitration only when the claims against the nonsignatory are founded in an inextricably bound up with the obligations imposed by the agreement containing the arbitration clause.” (*Ibid.*). “In determining whether the plaintiffs’ claim is founded on or intimately connected with the sales contract, we examine the facts of the operative complaint.” (*Ibid.*)

Here, it is undisputed that Plaintiffs’ warranty claim arises from manufacturing warranties provided by Defendant Mercedes-Benz. However, Defendant has not established whether these warranties are “founded in and inextricably bound up with” the RISC.

In brief, the court in *Felisilda* found that manufacturing warranties are inextricably bound with the sales agreement, while the courts in *Ochoa* and *Montemayor* found that they are not.

The *Felisilda* court noted: “In signing the sales contract, the *Felisildas* agreed that ‘[a]ny claim or dispute, whether in contract, tort, statute or otherwise...between you and us...which arises out of or relates to...[the] condition of this vehicle...shall...be resolved by neutral, binding arbitration and not by a court action.’” (*Felisilda, supra*, 53 Cal.App.5th 486, 496.) Thereafter, the Court noted that “the *Felisildas*’ claim against FCA relates directly to the condition of the vehicle.” (*Ibid.*) “In their complaint, the *Felisildas* alleged that ‘express warranties accompanied the sale of the vehicle to [them] by which FCA...undertook to preserve or maintain the utility or performance of [their] vehicle or provide compensation if there was a failure in such utility or performance.’” (*Ibid.*) “Thus, the sales contract was the source of the warranties at the heart of this case.” (*Ibid.*)

Based on the above, *Felisilda* concluded: “[T]he *Felisildas*’ agreement to the sales contract constituted express consent to arbitrate their claims regarding vehicle condition even against third parties.” (*Id.* at 498.) Additionally, “[b]ecause the *Felisildas* expressly agreed to arbitrate claims arising out of the condition of the vehicle – even against third party nonsignatories to the sales contract – they are estopped from refusing to arbitrate their claim against FCA.” (*Id.* at 497.)

In contrast, the court in *Ocho supra*, 89 Cal.App.5th 1324, 1329-1330, 1333, examined identical contractual language and expressly declined to follow *Felisilda*. Initially, the court “disagree[d] with *Felisilda* that ‘the sales contract was the source of [FCA’s] warranties at the heart of this case.’” (*Id.* at 1334.) Instead, the court explained that “manufacturer vehicle warranties that accompany the sale of motor vehicles without

		regard to the terms of the sale contract between the purchaser and the dealer are independent of the sale contract.” (<i>Ibid.</i>) Consequently, the Ochoa court found that plaintiff’s warranty claims were not “founded” in the sales contract. “Rather, plaintiffs’ claims are based on FMC’s statutory obligations to reimburse consumers or replace their vehicles when unable to repair in accordance with its warranty.” (<i>Id.</i> at 1335.) “Not one of the plaintiffs sued on any express contractual language in the sale contracts.” (<i>Ibid.</i>) “The sale contracts include no warranty, nor any assurance regarding the quality of the vehicle sold, nor any promise of repairs or other remedies in the event problems arise. To the contrary, the sale contracts disclaim any warranty on the part of the dealers, while acknowledging no effect on ‘any warranties covering the vehicle that the vehicle manufacturer may provide.’ In short, the substantive terms of the sale contracts relate to sale and financing and nothing more.” (<i>Ibid.</i>) Similar to the above, the agreement herein disclaims any affect on manufacturer warranties stating: “If you do not get a written warranty, and the Seller does not enter into a service contract within 90 days from the date of this contract, the Seller makes no warranties, express or implied, on the vehicle, and there will be no implied warranties of merchantability or of fitness for a particular purpose. [¶] This provision does not affect any warranties covering the vehicle that the vehicle manufacturer may provide. (RISC, p. 4, ¶ 4.) Additionally, similar to the circumstances in Ochoa, Plaintiffs herein are not asserting any claims against Mercedes-Benz, based on the terms of the RISC. The Court in Ochoa further explained: “‘California law does not treat manufacturer warranties imposed outside the four corners of a retail sale contract as part of the sale contract.’” (<i>Ochoa, supra</i>, (2023) 89 Cal.App.5th 1324, 1335.) “[O]ur Supreme Court [has] distinguished between, on the one hand, warranty obligations flowing from the seller to the buyer by contract, and, on the other hand, manufacturer warranties ‘that arise[] independently of a contract of sale between the parties.’” (<i>Id.</i> at 1336.) Ochoa held that “Plaintiff’s claims in no way rely on the sale contracts” and, consequently, “[e]quitable estoppel does not apply.” (<i>Ibid.</i>) Thus, plaintiffs’ claims arise independent of the RISC. Therefore, defendant cannot compel arbitration through equitable estoppel. 1) Defendant to give notice.
12	23-01356405 <i>Pacific Western Bank vs. Sanghavi</i>	1) Application for Right to Attach Order/Writ of Attachment 2) Application for Right to Attach Order/Writ of Attachment The Applications of Plaintiff Banc of California, formerly known as Pacific Western Bank, for right to attach orders and orders for issuance of a writ of attachment against Defendants Rathi Sanghavi and Virusan